Scenario Planning

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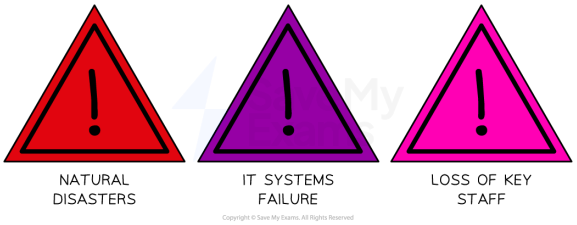
Using risk assessment to identify risks

- **Scenario planning** is the process of anticipating possible changes in a business's situation and devising ways of dealing with them
  - This risk assessment is where a business **identifies, evaluates and prioritises risks** and the **precautions** that may be taken to **protect** against them

Common hazards in risk assessment



Hazards commonly covered by business risk assessments include natural disasters, IT systems failures and loss of key staff

Natural disasters

- Natural disasters are often **unpredictable**, but their impact can be so **devastating to business** operations that they are a common element of risk assessments
  - Identify the **types of natural disasters** that could be expected to occur in a particular area
  - Assess the potential **extent** of the impact of a natural disaster on the business and its assets
  - Estimate the likelihood of a natural disaster occurring and the potential **magnitude** of its impact
  - Identify and implement **measures to reduce the risk** (e.g. evacuation plans)
- For example, 2022's Storm Eunice caused significant disruption to transport networks and damage to commercial property across England and was followed by a period of flooding that closed hundreds of businesses

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

IT systems failures

operating normally

- Business IT systems are at risk for a variety of reasons, such as:
  - Malware (e.g. viruses) can **infect a business's IT system** and cause significant damage, including the loss of data and system downtime, causing financial losses
  - Phishing involves **cybercriminals tricking employees** into giving away sensitive information, such as login or financial details
  - A **data breach** occurs when sensitive or confidential data is lost due to a cyberattack, human error or negligence
  - Downtime is when a system or application is unavailable as a result of **hardware or software failures**, power outages, or cyberattacks

- Insider threats come **from within an organisation** and can include:
  - Employees who intentionally or unintentionally cause **harm to the business's IT systems**
  - Stealing sensitive information or causing a **system outage**
  - **Employees who are not adequately trained** or aware of cybersecurity best practices can pose a significant risk to the security and integrity of a business's IT systems

Loss of key staff

- Losing key members of staff can cause difficulties, especially if the loss is unplanned (e.g. as a result of sudden illness or incapacity)
- Loss of experience and knowledge can impact a business's **competitive edge**
- Losing a **figurehead** or influencer can affect the **morale** of remaining employees as well as the culture and direction of the business
- Business contacts and **relationships with customers** and suppliers may be lost

Help me understand

Examiner Tips and Tricks

As well as carrying out detailed risk assessments, many businesses also plan for those uncertain events that can bring opportunities in a wider exercise known as **scenario planning**.

These businesses are in a good position to respond swiftly to external factors that operate in their favour, as they have weighed up the various options in advance.

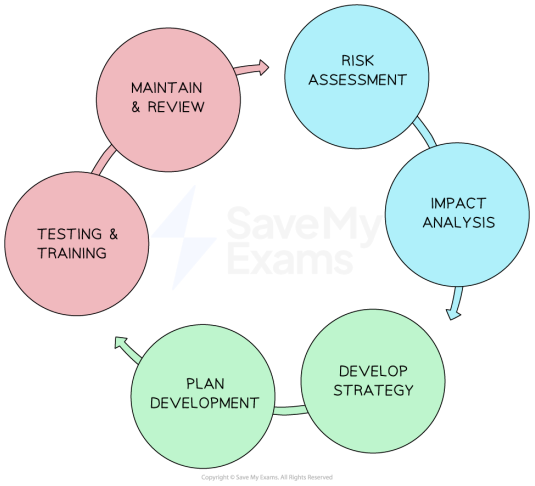
Planning for risk mitigation

- Two key elements of risk assessment plans are **business continuity plans** and **succession plans**

Business continuity plan

- A business continuity plan sets out **how a business will operate following a serious incident** or disaster and **how it expects to return to normal** as soon as possible
- While the **specific stages may vary** depending on the business's size and specific circumstances, there are some common stages that are typically included in a business continuity plan

Stages in a business continuity plan



The business continuity planning process

1. **Risk assessment**
   Involves identifying potential risks that could **disrupt** business operations
   - This may include natural disasters, cyberattacks, supply chain disruptions and other events that could impact the business

2. **Impact analysis**
   Is the assessment of the potential impact of these events on the business
   - This may involve **identifying critical business functions** and determining the potential **financial and operational impact** of disruptions

3. **Strategy development**
   Formulates the **approaches to be taken** to respond to disruption
   - This may include measures such as implementing backup systems, developing communication plans and identifying alternate work locations

4. **Plan development**
   Outlines the **specific steps that will be taken** in the event of a disruption
   - This may include detailed procedures for handling different types of disruptions, as well as guidelines for communication and decision-making

- This may involve conducting drills and simulations, as well as providing training to employees and other stakeholders

6. **Maintenance and review**
   Involves the **regular review and updating of the plan** to ensure that it remains **relevant** and **effective**
   - This may involve reviewing and updating the risk assessment, revising procedures and guidelines, and ensuring that stakeholders are aware of any changes

Succession planning

- Succession planning involves **identifying and developing current employees** who have the potential to **move into key roles** in the future
  - It is often used to prepare for the eventual **retirement**, death or departure of a senior executive and ensure the **smooth transition** of the business to the next generation of leadership
  - While the **process may vary** depending on the specific circumstances of a business, there are some key elements of succession planning

Elements of succession planning

Element	Explanation
Identify potential successors	• Businesses may look at family members, key employees or outside candidates to develop a pool of **potential candidates** • This may involve **assessing the candidates' skills, experience and commitment** to the business and comparing these to the desired characteristics
Develop a plan	• Once potential successors have been identified, a **plan to prepare for the transfer of leadership** is developed • This may involve amending the **organisational structure** of the business or establishing a management team to run the business during the interim period
Train and mentor	• Potential successors need to have the **skills and knowledge** needed to take over the business • This may involve providing education, **coaching** and on-the-job training
Communicate with stakeholders	• All stakeholders need to be **informed of the plan**, including employees, customers, suppliers and investors

Review and update the plan	• This should be done regularly to ensure the plan remains **relevant and effective** as the business evolves over time

- Successful business succession planning can help to ensure the **long-term viability** of a business while also providing **peace of mind** to key leaders or employees as they plan for their departure from the business

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